

Chunking

Limited Context Window

Size, Content & Boundaries

↳ Semantic

↳ Non Semantic

1) Optimizing Retrieval Accuracy

Large :- mixing of multiple idea
Noise & Jitter

Small :- Focused, single idea

Chunk Size :- 2000 X

500 - 1200

2) Preserving the Context

Too small :-

Too big :- Noise

Attention Mechanism

↳ Attention Dilution

↳ lost in the 'middle effect'.

Trouble accessing the information.

* Hallucinating

* Reasoning

Sweet Spot

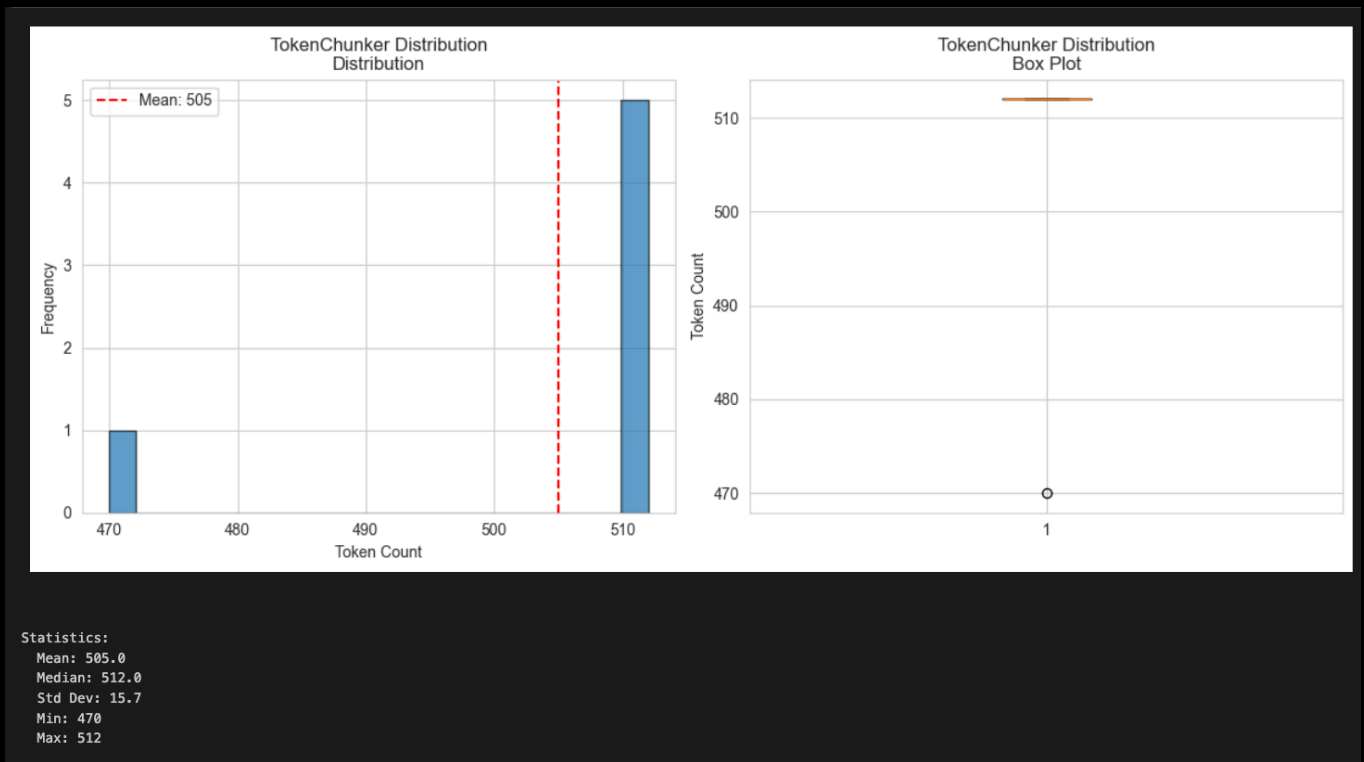
1) Cost optimization

2) Managing the LLM context window

3) Reducing Hallucinations

4) Improving

Chunking is part of Context Engineering



Mean :- 505 (Avg chunk size) 512

Estimating the storage / memory reqs

Median :- 512

Median > Mean
512 505

Ideal :- 512 close
but few outliers.

Standard Dev: 15.7

Very low ($\sim 3\%$ of mean)

Highly consistent

For RAw :- low std. dev

Min - Max (Range)

470 - 512

= 42

To keep difference

Narrow = Uniform Chunks

Distribution

AST

- 1) Function
- 2) classes
- 3) Methods
- 4) Imports
- 5) Control blocks

Source Code



AST Parser (language specific)



Nodes (function, class)



Chunk boundaries



Semantically code chunks

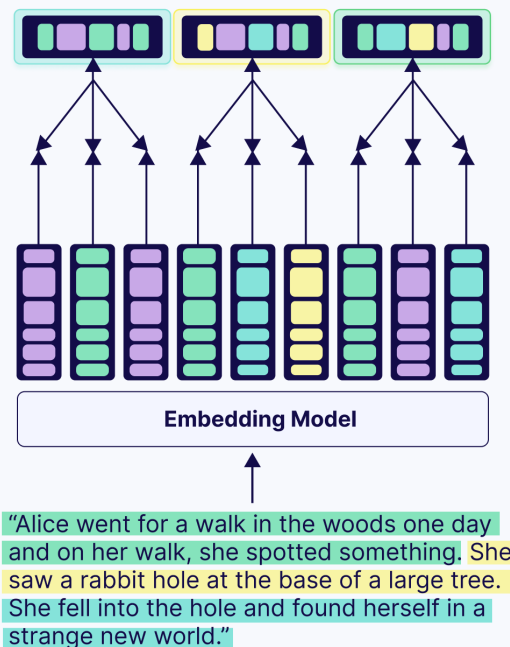


Late Chunking

1 major problem :- Context loss

- 4 **Pool strategically** instead of pooling all tokens into one vector, late chunking pools tokens according to your chunking strategy to get multiple contextually-aware embeddings per document
- 3 **Preserve context** because the embeddings were created with full document context, each chunk "remembers" its relationship to neighboring chunks.
- 2 **Chunk the embeddings** (not the text)
- 1 **Embed the entire document** using a long-context model

(Pooling on chunks of tokens)



➤ Isolated chunks

↳ Ambiguous
↳ Context loss

L.C. Embedding Model

1) Token level embeddings

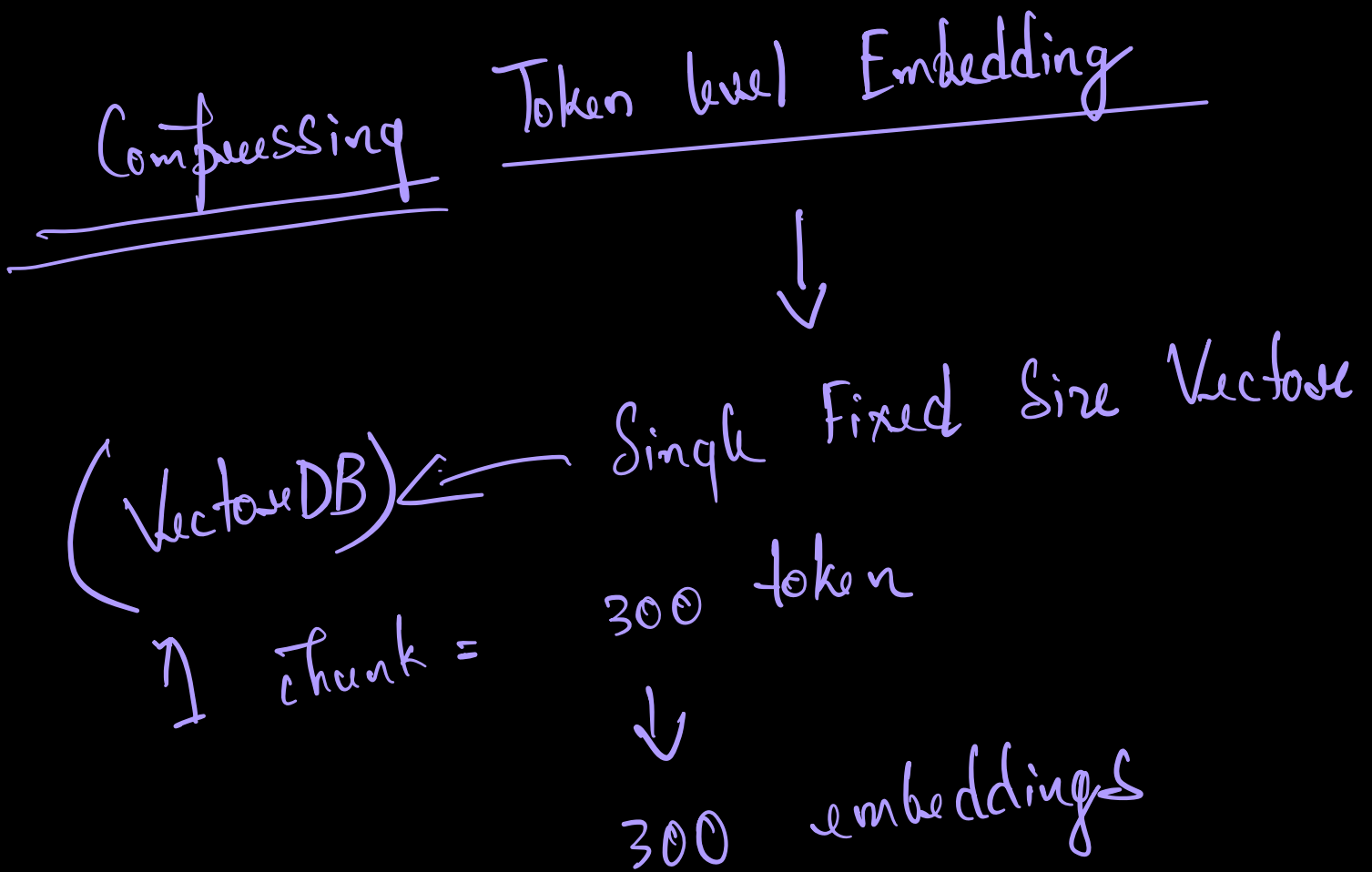
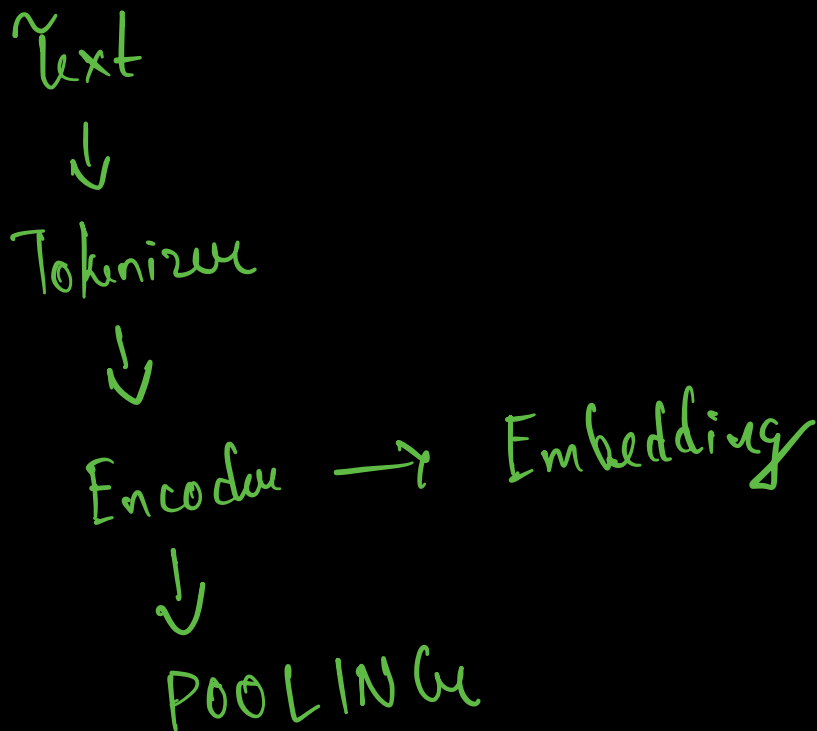
↳ Full context (Full Picture)

↓
Split

Average the token embeddings

What is Pooling?

1) Mean Pooling



Default : - 1 vector / token

300 - $\times$ Single vector

Mean (Avg) Pooling

$$\text{Chunk-Embedding} = \frac{1}{N} \sum_{i=0}^N d_i$$

Average of all token level embeddings

Sentence Transformers

384, 786, 1536, 3072

Pooled Embedding Dimensions

Average $\rightarrow$ Info loss

Neural Chunks

Semantic Shift $\rightarrow$ BERT

Doc $\rightarrow$ Tokens $\rightarrow$ Token Classification

$\swarrow$
Identifying chunk boundaries

512

$\rightarrow$ Positional Encoding Constraint

Agentic LLM Chenkai

Semantic Unit → Proposition

More meaning than fixed size chunks

Proposition → An atomic self contained factual or a logical statement. → one idea

Linguistics (NLU)

Example: -

Sent 1 Paul is going to London. Paul loses
football. → Sent 2

Proposition :- Sent (1) claim.
Sent (2) claim.

Each line is a proposition.

LLM based Proposition chunking

Document



LLM



Extract Proposition



Each proposition becomes
a chunk



✓
Save it Vector DB

C_1

P_1

C_2

P_2

C_3

P_3

C_4

P_4

Retrieval Accuracy ↑

less Hallucinations

Better Factual Grounding

[* Hybrid

* Reasoning]

HYDE

Hypothetical Document Embeddings

{Two shot ^{Dense} Retrieval}

1) generate a hypothetical document using a LLM

2) Encode this document



Contrastive learning

Differentiate b/w similar & ML
dissimilar data points.

learn → Representation Documents

High dimension

(cluster) Similar Docs $\rightarrow$ close

(cluster) Dissimilar Docs $\rightarrow$ Far away

Efficient Similarity Retrieval Systems.

* NRL *

Hyde

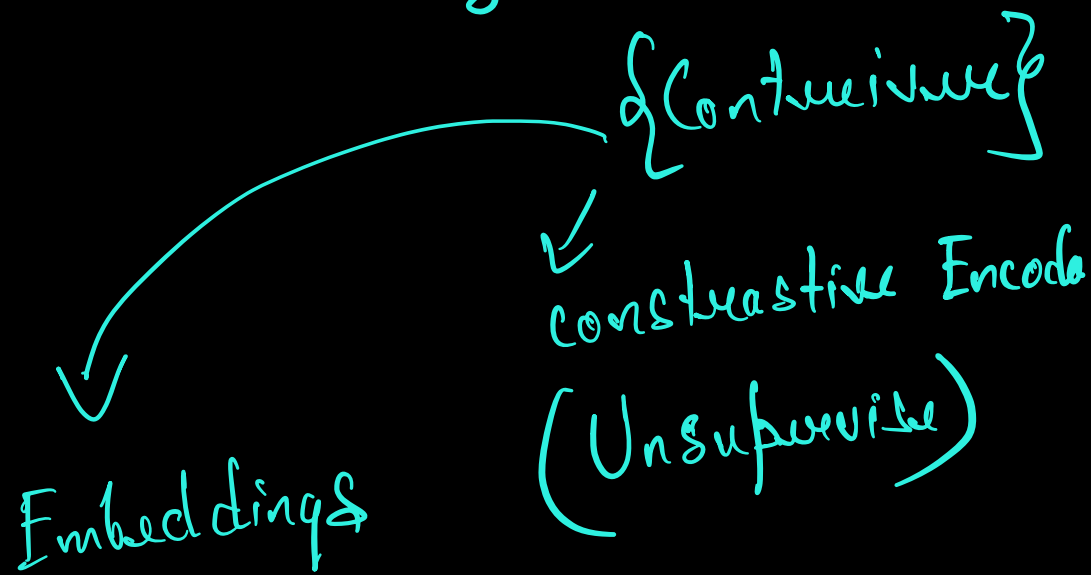
1) Query Input

2) Hypothetical Document Generation

$\hookrightarrow$ Relevance Patterns

Errors

3) Document Encoding



4) Similarity Search → Real Docs

5) Retrieval Results

HyDE: Bridging Gaps in Information Retrieval

Query: "new diabetes treatments"

Regular RAG

- 1 Encode query directly
- 2 Search document chunks
- 3 Retrieve similar chunks

HyDE

- 1 Generate hypothetical document
- 2 Encode hypothetical document
- 3 Search document chunks
- 4 Retrieve similar chunks

Advantages of HyDE

- 1 Bridges domain terminology gap
- 2 Narrows query-document semantic gap
- 3 Improves retrieval for complex queries

Hypothetical Document Example

Recent advancements in diabetes treatments include:

1. GLP-1 receptor agonists (e.g., semaglutide)
2. SGLT2 inhibitors (e.g., empagliflozin)
3. Dual GIP/GLP-1 receptor agonists

Dense Vs Sparse

Dense → low dim (non-zero)
Sparse → very high dim (mostly zero)

$D (128 - 4096)$

$S (10000 - 50000)$

D → Word2Vec, GloVe, BERT,
Open AI Embeddings,
CNN, ViT

(D) Advantages:-

- 1) Strong Semantic Understanding
- 2) Similarity Search.
- 3) Compact Storage

Disadvantages

- 1) Hard to Interpret
- 2) Costly to compute.

Sparse

Algos :- BOW, TFIDF, OHE, BM25

Why many zeros?

Vocabulary Size

1) Cheap computation {Fast Embed}

Exact Matching

Sparse + Dense $\Rightarrow$ Hybrid Search